WHAT THE ARDEN CHARGE MEANS FOR THE SECTOR (LESS THAN YOU THINK)

Finance Weekly

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Arden is a small market. Total fossil fuel sales in the state run about $4,100 million a year, which for the largest sellers is a rounding error against consolidated revenue. Investors calling us about the Arden bill are asking the wrong question.

The right question is whether the coverage test reaches the majors at all. The test has three limbs and the third is expressed as a proportion of the seller's own revenue from these products. Run that against a seller with revenue in the hundreds of billions and the in-state amount it requires is a large multiple of the entire Arden market. We have not seen a broker note that has done this arithmetic and we are not going to do it for them here.

The one-off assessment is a different matter for whoever is covered. $20,000 million spread over five instalments is a material number for a mid-sized distributor and an immaterial one for a major. Our reading is that the burden of this bill, if it stands, falls on the middle of the market and on the one Arden utility, not on the names the sponsors talked about in the hearings.

If that is right, the political economy of the bill is not what either side has described, and the litigation risk is not where the sponsors think it is.

Not investment advice. Finance Weekly holds no positions in the companies mentioned.